

TradeZone Analyst Memo To: Head of Growth & Head of Seller Operations

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Subject: Data Review & Insights for 2025 Planning - TradeZone Performance (2023–2024)

Date: April 23, 2026

Executive Summary

TradeZone recorded impressive revenue growth from 2023 to 2024, with total revenue reaching approximately ₦984.7 million. The business served 5 cities with 11 distinct product categories within this period. They also had 280 out of 280 products in the market and 90 out of 90 sellers being active. with Q1 2024 delivering 1,544% year-over-year revenue growth driven almost entirely by a dramatic increase in order volume rather than higher spend per customer. While this growth demonstrates strong platform acquisition momentum, it also exposes a fragile foundation: first-30-day customer conversion rates remain below 50% across all five states, seller performance is highly uneven, and critical data quality gaps in product pricing affected 97 order items across four products. Addressing conversion friction and seller quality consistency are the two most urgent priorities before the 2025 planning cycle.

Key Findings

1. Average customer conversion

New customer conversion within the first 30 days remains relatively low, ranging from 31% in Kano to 49% in Lagos. They made a total of 425 new customers in the year 2024 but only 177 people purchased an item within the first few days. This suggests that a significant portion of acquired customers (51%–69%) are not making their first purchase quickly, indicating potential friction in onboarding, product discovery, or initial trust. (Source Q1)

"state"	"new_customers"	"converted_within_30d"	"conversion_pct"
"Lagos"	146	72	49.32
"Fct"	92	38	41.30
"Rivers"	66	28	42.42
"Oyo"	63	21	33.33
"Kano"	58	18	31.03
Total	425	177	

2. Explosive Volume-Driven Growth with Stable Average Order Value

Quarterly revenue grew dramatically in 2024, with Q1 showing the strongest year-over-year growth of 1,544%. Total orders increased from just 22 in Q1 2023 to 342 in Q1 2024. However, Average Order Value remained relatively stable (₦250,000 – ₦360,000 range). This indicates that TradeZone's growth is being driven mainly by higher customer acquisition and order volume rather than customers spending more per transaction. While impressive, this pattern suggests potential weaknesses in customer retention, repeat purchase behavior, and upselling capabilities. If customer acquisition slows or costs increase, revenue growth will slow proportionally because there is no secondary engine of higher spend per customer or strong repeat purchase behaviour currently visible in the data (Source: Q4).

3. Very Little Overlap Between Revenue Leaders and Speed Sellers

Only 3 sellers (SportsCentral NG, VogueNG, WellnessHub NG) appear in both lists. This means most high-revenue sellers are not the fastest deliverers, and most fast deliverers are not generating the highest revenue. All Top 10 revenue sellers carry an average customer rating of 4.0 or above. By contrast, several of the fastest fulfilment sellers have significantly lower ratings — GadgetKing NG at 1.85 and AgriMart NG at 2.50.

This suggests customers tolerate longer delivery times from sellers who deliver quality, and are not rewarding fast but low-quality sellers with repeat purchases or higher spend. Speed alone does not drive revenue on the TradeZone platform. The platform should incentivize the fast sellers to improve product quality/ratings, and encourage high-revenue sellers to improve fulfilment speed.

Recommendations

Recommendation 1 - Launch a 30-Day First Purchase Activation Programme

The Growth team should design and deploy a structured onboarding sequence targeting all newly registered customers who have not made a purchase within 7 days of sign-up. This should include a time-limited first-purchase incentive (e.g. a ₦2,000 voucher valid for 14 days), personalised product recommendations based on their registration state, and a simplified product discovery experience on first login.

Expected outcome within 60–90 days: A measurable increase in 30-day conversion rate from the current platform average of 41.65% to at least 55%. Even a 10 percentage point improvement across the 2024 cohort of 425 customers represents approximately 42 additional first purchases and ₦10.5 million in incremental revenue at the current average order value. Traceable to: Q1 - conversion rate data by state.

Recommendation 2 - Introduce a Seller Performance Improvement Programme

Action: The Seller Operations team should identify all active sellers with an average customer rating below 3.5 and initiate a structured improvement programme. This should include a mandatory seller quality audit, coaching on product listing accuracy and packaging standards, and a 90-day performance window to reach a minimum 3.8 rating or face reduced platform visibility. Simultaneously, the top 20

fastest fulfilment sellers should be benchmarked and their fulfilment practices documented and shared with high-revenue sellers as a speed improvement guide.

Expected outcome within 60-90 days: Elimination of sellers with sub-3.0 ratings from high-visibility placements, measurable improvement in platform average rating, and identification of at least 5 sellers who improve both fulfilment speed and rating to qualify for a combined performance tier - reducing the current gap between Revenue Champions and Speed Champions.

Traceable to: Q3 and Q8 .

Data Quality Notes

Issue 1 Missing Product Prices (4 Products, 97 Order Items)

Four products (PROD0104, PROD0088, PROD0205, PROD0245) across the Home and Garden, Food and Beverages, and Books and Stationery categories had no unit_price recorded in the products table. These products were ordered, resulting in 97 order items with NULL unit prices and NULL line totals. Since no recoverable price existed in the order_items table or payments table for these records, they were excluded from all revenue calculations.

Decision: Exclude unrecoverable NULL-price order items from revenue analysis rather than imputing values, to avoid introducing inaccurate revenue figures.

Risk if wrong: If these 97 items had significant transaction values, total platform revenue and category-level revenue figures in Q2 and Q7 are understated. The true revenue impact cannot be quantified without the missing price data.

Issue 2 Order Amount Mismatches (9.09% of Orders)

Approximately 9.09% of orders showed a difference greater than ₦10 between the recorded total_amount in the orders table and the sum of line items in order_items. These mismatches were flagged with an amount_mismatch column rather than corrected or deleted.

Decision: Flag mismatched orders and retain them in the dataset using the total_amount field as the authoritative revenue figure, since it represents what was actually charged to the customer.

Risk if wrong: If total_amount was itself incorrectly recorded, our revenue figures could be overstated or understated. A reconciliation against the payments table is recommended to validate which figure is authoritative.

What the Data Cannot Tell Us

Leadership is likely to ask: Which marketing channels are driving the highest quality customers those who convert fastest and spend the most over time?

The current dataset has no acquisition channel data. We know when a customer signed up and where they are located, but we cannot determine whether they came from paid social, organic search, referral, influencer promotion, or offline channels. This means we cannot calculate channel-level customer acquisition cost, channel-level conversion rate, or channel-level lifetime value.

Additional data requested: A customer_acquisition table linking each customer_id to their source channel, campaign identifier, and acquisition cost. With this data we could calculate cost-per-converted-customer by channel and redirect budget toward the channels producing the highest 30-day conversion rates making the recommendation in Finding 1 significantly more targeted and cost-efficient.